6.4

Business and Ethical Issues

Cambridge IGCSE Business

- What Are Ethics?
- Ethical Issues
- Child Labour
- Fair Wages
- Fair Suppliers
- How to Respond
- Ethics Evaluation

Business Ethics

Ethics are the moral principles that guide how a business behaves. Acting ethically is increasingly important — but it can conflict with the objective of profit maximisation.

- Explain what ethical issues businesses face
- Explain how businesses can respond to ethical issues
- Evaluate advantages of being an ethical business
- Evaluate disadvantages of being an ethical business

Ethical Issues Facing Businesses

What ethics are · Why they matter · Real examples

Ethical Issues – What They Are and Why They Matter

Business ethics are the moral principles that guide how a business treats its employees, suppliers, customers and the environment. Ethics often conflict with profit maximisation.

Key ethical issues — in depth:

Child labour	Using children under legal working age in exploitative or dangerous conditions. Often hidden deep in global supply chains. Nike, Gap, H&M and Primark have all faced allegations.
Fair wages	Paying workers a living wage — enough to cover basic needs — not just the legal minimum. The Living Wage Foundation sets a higher voluntary standard than the government minimum.
Fair supplier prices	Paying developing-world farmers and producers enough to cover their costs and support their families. Fairtrade certification guarantees a minimum price floor.
Green supply chains	Only using suppliers who meet environmental standards — no deforestation, no excessive emissions, certified sustainable sourcing across the supply chain.

Exam tip: Ethical issues arise because global supply chains are complex and hard to monitor. A business may be unaware of unethical practices in its supply chain — but still faces reputational damage when exposed.

How Businesses Respond to Ethical Issues

Businesses face a choice — act ethically (which may cost more) or ignore ethics (which risks reputational damage and consumer boycotts). Most large businesses now have formal ethical policies.

Specific ways businesses respond to ethical issues:

Audit supply chains
Conduct regular independent audits of supplier factories to check working conditions and wages

Primark: 900+ ethical trade audits per year in Asian factories

Pay Living Wage
Voluntarily pay employees above the legal minimum — the Living Wage Foundation accredits compliant employers

IKEA: pays the Living Wage in all UK stores — above minimum wage

Fairtrade certification
Pay farmers certified minimum prices and premiums to invest in communities

Divine Chocolate: Fairtrade, farmer-owned. Farmers receive 44% of company

Environmental policy
Publish carbon reduction targets and annual sustainability reports

Patagonia: 1% of all sales donated to environmental causes since 1985

Transparent reporting
Publish ethical policies, supply chain information and CSR reports publicly

Marks and Spencer: annual Plan A report covers all ethical commitments

Exam tip: A business that acts ethically as a marketing strategy is called 'purpose-driven'. Patagonia and The Body Shop built entire brands around ethics. For others it is a compliance exercise.

Advantages and Disadvantages of Being an Ethical Business

Acting ethically has both costs and benefits. The best exam answers evaluate BOTH sides and reach a justified conclusion — there is no simple right answer.

Advantages of Being an Ethical Business

- Improved reputation — consumers prefer ethical brands and reward loyalty
- Increased sales — ethical consumers are a growing, high-spending demographic
- Attract and retain quality staff — younger workers prioritise ethical employers
- Reduced legal risk — proactive ethics reduces chance of fines or prosecution
- Investor appeal — ESG funds now manage trillions · ethical firms attract capital
- Avoid boycotts and scandals — ethical failures destroy brands and revenue overnight
- Long-term sustainability — ethical practices maintain supply chains and resources

Disadvantages of Being an Ethical Business

- Higher costs — ethical sourcing, fair wages and auditing all increase expenditure
- Lower short-term profit — ethical choices may reduce margins compared to rivals
- Competitive disadvantage — unethical rivals may undercut on price
- Difficult to enforce in global supply chains — hard to monitor thousands of suppliers
- Greenwashing risk — ethical claims may be challenged or exposed as misleading
- Customer indifference — many consumers still choose lowest price over ethics
- Time-consuming — ethical reporting, audits and policies require management resource

Exam tip: When evaluating ethics, the key debate is: does acting ethically COST money or SAVE money in the long run? Strong answers argue that reputation damage from unethical behaviour costs MORE than ethical compliance.

Key Revision Checklist – 6.4 Business and Ethical Issues

Ethics	Moral principles guiding business behaviour toward employees, suppliers, customers and environment
Child labour	Using underage workers in dangerous or exploitative conditions — often hidden in global supply chains
Fair wages	Paying employees enough to cover basic needs — Living Wage goes beyond legal minimum
Fair supplier prices	Paying developing-world producers enough to cover costs and support families. Fairtrade guarantees minimum prices.
How to respond	Supply chain audits, Living Wage accreditation, Fairtrade certification, environmental policies, transparent reporting
Advantages	Better reputation, higher sales, attract staff, reduce legal risk, appeal to ESG investors, avoid boycotts
Disadvantages	Higher costs, lower short-term profit, competitive disadvantage, hard to enforce across global supply chains
Evaluation	Ethical behaviour may COST more short-term but SAVES more long-term through avoided reputational damage